

BRUN pitch deck

PITCH — BRUN — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no order, no price at which we buy today; both benches ended FLAT and the disagreement between them is about *which* argument kills it, not whether it dies.

What we believe

Boost Run (BRUN, CIK 2090646) is a real, revenue-generating GPU-capacity business that came public through a SPAC merger in May 2026, ran to \$42, and has round-tripped to \$17.05 — down 59% from the high but still up 66% from its \$10.26 low. It fell 17% on August 28 from a \$20.61 close.

We went in believing the drop was mechanical — a wave of warrant shares hitting a thin market with nothing wrong underneath — and that the balance sheet proved the business was healthy, because customers had prepaid \$128 million.

We now believe the opposite of the second half. The \$128 million of customer prepayments is not independent evidence of health. It is the reported cash flow. In the first half of 2026 the company reported \$114.2 million of cash from operations, of which \$112.9 million was the increase in customer deposits — 98.9%. Strip the prepayments out and the business generated \$1.3 million of operating cash on \$42.1 million of revenue ([10-Q cash flow statement, R6](#)). The same dollars were being sold to us twice: once as proof that customers want the capacity, and again as proof that the company generates cash.

What we still believe, and what survived the challenge intact:

- **There is no funded debt.** Bridge loans were repaid at the merger. No revolver. The only credit instrument is a \$12.96 million standby letter of credit, fully cash-collateralized. The whole “debt-funded AI datacenter” story that gets pinned on this cohort is factually wrong here — every obligation is a lease, and every lease is disclosed.
- **But there is also no facility.** No undrawn line, no tested debt capacity. That cuts both ways and, on the current numbers, cuts against.
- **The forward obligations are larger than the balance sheet shows.** On-balance-sheet leases total \$406 million undiscounted. After the June 30 balance sheet date the company signed roughly \$380 million more — a 144-month Pryor, Oklahoma lease starting December 15, 2026 at about \$2.36 million a month (~\$340 million), and a 6.5 MW Rock Island, Illinois lease starting September 1, 2026 at about \$660 thousand a month with an 80% minimum take (~\$40 million). That is ~\$786 million of committed lease payments.
- **Against that, the advertised prize doesn’t clear.** Management markets \$1.9 billion of “total contract value” at a claimed 40% margin. If all of it converts, that is roughly \$760 million of

lifetime adjusted profit — against ~\$786 million of lease payments. The best case is roughly break-even against the rent.

- **The August 28 drop was not newsless.** A director exercised 1.1 million warrants at \$11.50 on August 19 and sold 198,200 shares at \$20.15 on August 27, disclosed the morning of the 17% decline. The 10b5-1 box on the Form 4 is not checked — this was discretionary, not a pre-set plan.

So: a business that is not fraudulent, not levered, not obviously failing — priced at about 12× current revenue with its rent already spoken for and its cash flow indistinguishable from customer float. That is not a dislocation. It's a fair-to-rich price on an unproven ramp.

What the market believes

The market is holding two stories at once and the price sits between them.

The bull story: this is one of the few small AI-compute names with actual contracted revenue rather than a rendering of a building. \$1.9 billion of contract value, \$42 million of revenue in six months and accelerating, \$128 million of customer prepayments as a hard demand signal, no debt, \$208 million of cash after the warrant exercise, and an implied exit-2026 run-rate near \$400 million. At \$17.05 that's under 4× the forward number — cheap, if the ramp is real.

The bear story that the tape has already partly accepted: it's down 59% from the high. Something is being discounted. What's *actually* being discounted appears to be supply — roughly 7.36 million warrant shares (about 9% of shares outstanding) delivered after June 30 and forced into a single week by an August 20 cash deadline — plus the visible fact of a director selling.

What the market does *not* appear to have priced, because it isn't in any screen or press release:

1. That reported operating cash flow is essentially the deposit line.
2. That ~\$380 million of new lease obligations were signed after the last balance sheet date and appear only in a subsequent-events note.
3. That the warrant cash was already committed before it arrived.

Vendor screens are also carrying the wrong share count (79.49 million, pre-warrant-delivery), which understates enterprise value.

Why we might have edge

Three things, all of them found by reading the actual filing rather than a summary of it:

1. **The cash-flow decomposition.** Nobody has to hide anything for this to work — the numbers are right there in the cash flow statement — but the *pairing* is what matters, and no screen pairs them. “Operating cash flow is positive” and “customer deposits grew” are the same line item, and the company's own investor materials cite both as separate strengths.

2. **The subsequent-events note.** The lease commitments that actually determine solvency were signed after the balance sheet date and live in a note most readers never open. Our red bench reached the right conclusion — the rent eats the prize — with the wrong arithmetic; our blue bench found the number that makes it true. The screens see \$406 million; the real figure is ~\$786 million.
3. **The missing table.** 97.7% of revenue is lease income. The company discloses the lease payments it *owes* in full detail, and discloses nothing about the lease receipts it is *owed* — replacing that audited table with an unaudited “\$1.9 billion TCV” figure that appears only in the earnings release. The one schedule that could falsify the backlog claim is the one that isn’t there.

Both of these last two are generalizable patterns we’ve now written down as reusable detectors, which is worth more than this single name.

Why it might be priced in

Honest counterweight, and it is heavy:

- **The stock is already down 59%.** Arguing “this is expensive at \$17” against a tape that has taken it from \$42 requires believing the market has repriced for the wrong reason. Possible, but it is not a free assumption.
- **The prepayment structure may be less alarming than it sounds.** Our red bench framed “cash \$120 million < deposits owed \$128 million” as near-insolvency. That framing is wrong and blue corrected it: these are lease prepayments settled in delivered GPU-hours, not cash that can be demanded back. The dependence is real; the run-on-the-bank picture is not.
- **The insider sale is small.** 198,200 shares is about \$4.0 million and roughly a 4% trim of that holder’s position. It is a tell, not a supply shock. It cannot mechanically produce a 17% day.
- **The governance flag is old news.** “Material weakness” language appears continuously in the S-4 from January 2026 through both prospectuses and the current 10-Q. It is de-SPAC legacy disclosure, disclosed for eight months. Anyone who cares has had it since January.
- **The lease-vs-prize math is a roof test, not a forecast.** It says the *advertised* contract book barely covers the rent. It does not say new contracts won’t be signed — a capacity business signs leases against demand it expects to fill, and the \$1.9 billion is a snapshot, not a terminal value.
- **Sophisticated holders are present.** Two 13G filings in August. Someone with a real research budget is buying this.

What could go wrong

This is written as if we had taken the position we would take at the reopen levels below. If we never enter, none of this bites — but the discipline is worth writing down before the reopen trigger fires and we are deciding under time pressure.

Failure narrative 1 — The ramp is real and we watch it from the sidelines (most likely).

The Pryor and Rock Island sites energize on schedule, Q3 shows revenue stepping from \$31 million to

\$60–80 million, and the deposit-funded cash flow turns into contracted revenue exactly as designed — because that is what a prepayment is *supposed* to do. The “98.9% of operating cash flow is deposits” finding was a snapshot of a company mid-ramp, not a defect. The stock re-rates to \$28–35 and our entire analysis reads, in hindsight, as pedantry about accounting mechanics at a company that was simply early. **Tripwire exists:** Q3 10-Q showing operating cash flow positive *excluding* deposits, plus a revenue step consistent with the energized megawatts. That is exactly our reopen condition, and it means we would be buying it 60% higher than today.

Failure narrative 2 — We buy the reopen and the customer concentration kills it. We wait, Q3 delivers, we enter around \$11–13, and then one counterparty representing most of the \$128 million of deposits and most of the \$1.9 billion contract book fails to renew, renegotiates, or goes bankrupt. Revenue halves; the rent does not. **This has a partial tripwire that does not currently work:** neither bench could find a >10%-customer table anywhere in the filings. We flagged it as a reportable gap in both directions. We would be sizing a concentration risk we cannot measure, which means the honest response to entering before that table exists is a smaller position than the valuation alone would justify.

Failure narrative 3 — no monitorable tripwire. Unknown-unknown class: *counterparty-of-the-counterparty* and *physical-delivery* risk. This is the one we cannot watch. The lease obligations are contractual and dated; the *revenue* depends on chips arriving, power being energized, and interconnection being granted at two specific industrial sites in Rock Island County, Illinois and Mayes County, Oklahoma. We have no sensor covering either jurisdiction — no permit feed, no interconnection queue, no utility filing. We would learn about a six-month power delay from the company, in a press release, after the stock had already moved. The same blindness covers the lessor side: if BRUN’s own equipment lessor pulls financing, or a GPU vendor reallocates supply, the first disclosure is the 8-K announcing the consequence. **Named class: physical-infrastructure and upstream-counterparty risk at unmonitored sites** — a category where the informational lag between the fact and the filing is measured in months and where every screen we run is blind by construction. There is no gate to arm. The correct response is size, not surveillance.

The reflexive and structural leg. Our own size is almost certainly not the problem here, but I have to say plainly that *we did not verify that*: neither bench pulled average daily volume, so the claim “our size is immaterial” is an assumption, not a check. On the visible facts — roughly 86.8 million shares, a stock that traded a 17% range in a session, and a position we would cap well under 1% of book — we would be a rounding error in the tape. Add it to the unverified list before any order.

The structural risk that *is* real is that we would be buying into predicted supply. There are roughly 58.7 million shares registered for resale, reportedly about 77% of fully diluted stock (our red bench confirmed this figure; our blue bench could not re-verify it and marked it plausible-but-unconfirmed — treat it as directional, not exact). The warrant overhang that just cleared is roughly a fifth of that shelf. Buying a reopen level in the \$11–13 zone means bidding directly into the price range where registered holders, including a director who has already sold once at \$20.15 with no pre-set plan, have every reason to keep distributing. Our own doctrine says not to bid into flow we ourselves predict. And the two rules interact badly: the “buy the clean-court starter” reflex and the “wait for the falsifying disclosure” rule point at the

same price zone from opposite directions — one says a name with no surviving kill deserves a minimum starter, the other says both benches named live kills and neither has been closed. The second governs. There is no clean court here.

If this position loses money, the most likely reason will be that we bought a functioning, debt-free business at a price that already assumed the ramp works, and then paid the rent — roughly \$786 million of dated, contractual, non-negotiable lease obligations — out of a contract book that at management's own margin assumption barely covers it.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Price was \$16.92 (original brief)	Pack tape vs. exchange close	\$17.05, the Aug 28 4:00pm close; prior close \$20.61, -17.27%	No — our own brief was wrong. Corrected by both benches
Customer deposits refute cohort damage	10-Q R6 cash flow statement	OCF +\$114.249M of which deposits +\$112.949M = 98.9%; ex-deposit OCF \$1.3M on \$42.1M revenue; prior-year H1 OCF \$8.6M on deposits -\$0.3M	No — refuted. The falsifying metric we nominated is the thing being falsified
Cash \$120.2M is below deposits owed \$128.4M — near-insolvent	10-Q R2 + revenue note R57	97.7% of revenue is lease income; deposits settle in delivered GPU-hours, not cash refunds. Total cash \$133.168M incl. \$13.002M restricted	No — our red bench overreached. Dependence real, insolvency framing wrong
Pro-forma cash ~\$250M	R6 + R2	\$43.44M of warrant proceeds were <i>already inside</i> June 30 cash. Incremental ~\$88M → ~\$208.4M unrestricted / \$221.4M total	No — our own brief double-counted ~\$42M. Both benches agree
11.45M warrant shares hit in one week (float shock)	R6 financing line + subsequent-events R76 + July 24 8-K	11.45M is <i>cumulative since spring</i> . 3.78M by June 30; ~7.36M delivered after	Partly. Our red bench called the mechanism dead; blue corrected red — ~9% of shares out really did land, deadline-clustered into the week of Aug 20. Mechanism reduced, not refuted
No news Aug 27–31	Form 4, accession 0001493152-26-040610	Director Goodrich exercised 1,101,986 warrants at \$11.50 on Aug 19, sold 198,200 at \$20.15 on Aug 27, filed Aug 28. 10b5-1 box not checked	No — refuted. There was news, and it was an insider selling
Lease obligations ≈ \$1B, ~\$200M/yr principal	Lease maturity schedule R60	Finance leases \$260.857M undiscounted (H2-26 \$45.5M, 2027 \$103.5M, 2028 \$99.8M, 2029 \$12.1M); operating \$145.449M; total \$406.3M	No — our red bench annualized a half-year figure that included retiring leases. Off by ~2.5×
...but the roof test still fails	R76 subsequent events	~\$380M of <i>new</i> leases signed after June 30 (Pryor OK ~\$340M; Rock Island IL	Yes — right conclusion, wrong

Claim	How checked	Found	Confirmed?
		~\$40M with 80% min take) → ~\$786M total vs ~\$760M lifetime profit if all \$1.9B TCV converts at 40%	number. The binding evidence was in a note red never opened
\$377M of current debt (original brief)	R2	Total current liabilities \$178.7M vs ~\$208M pro-forma cash. Zero funded debt ; bridge loans repaid at the merger; only a \$12.96M cash-collateralized standby LC	No — our own brief was wrong, in our favor. Our named kill-switch resolved for us; it just wasn't the one that mattered
Is there an undrawn facility ≥\$150M? (red's stated mind-changer)	Debt note R19	None exists. No revolver, no debt capacity tested	Checked — answer is no. Red's own escape hatch closed against the company
Material weakness is a fresh Aug 18 signal	EDGAR full-text search, CIK 2090646	Appears in the S-4 (Jan 13), three S-4/As, the S-1 (Jul 2), both 424B3s, and the 10-Q. Continuous since January	No — our red bench mis-tagged old disclosure as new. Downgraded to consensus
First 10-Q was late / was amended after an NT filing	EDGAR filing index	First 10-Q was timely, June 1 (0001493152-26-026667). The NT 10-Q was for Q2. The 10-Q/A amends Q1	No — both our benches got this wrong, in opposite directions
Deferred tax charge is a real cash cost	R6	\$55.669M is a deferred tax liability adjustment, non-cash, added back in operating	Yes — management's characterization survives. We should say so plainly
Enterprise value / valuation	R1/R2 share counts + tape	79,487,441 shares at Aug 17 + ~7.36M warrant shares ≈ 86.8M × \$17.05 ≈ \$1.48B equity; +\$238M leases −\$221M cash ≈ \$1.50B EV on \$124.6M annualized revenue = 12.0× sales	Yes. Vendor screens showing 79.49M shares / \$1.36B understate it
Customer concentration	Revenue note R42/R43/R57	No >10%-customer table anywhere. \$128.4M of deposits against \$1.9B TCV implies few, large counterparties	Cannot check — gap in the filings, reported by both benches
Contracted backlog quality	Searched for RPO / lessor receipts schedule	None disclosed. Lessee payment schedule fully disclosed; lessor receipts schedule absent; \$1.9B TCV appears only in the Aug 14 earnings release	Cannot check — the absence is itself the finding
Our size vs. daily volume	Not run	Neither bench pulled average daily volume	Not checked — gap. Must be closed before any order

PROPOSED ENTRY BANDS

Both benches say no entry at any price today. This is not a “wait for a better level” call — it is a “wait for a disclosure” call, and the distinction matters: a lower price does not answer the question that

is open. Buying \$11 without the Q3 filing is buying the same unanswered question at a discount, which is a different trade from the one we have analyzed.

No immediate buy. No resting order. No size.

Reopen conditions — either of these, and we re-run the case:

1. **Q3 10-Q (expected on or near November 16, 2026 — unconfirmed) showing both:**
operating cash flow positive *excluding* the change in customer deposits, and finance-lease payments covered by adjusted profit. Both benches independently named this as the gate.
2. **A lessor future-lease-receipts schedule** — the audited version of the \$1.9 billion contract-value claim — in any filing. Alternatively, a committed credit facility of \$150 million or more, which would change the funding picture on its own.

Either of these reopens the file. **The tape alone does not.** A price move without one of these is a cheaper version of the same unanswered question.

Price levels — for monitoring, not for bidding:

Level	What it means	Action
\$20.61	Pre-break close, reclaimed	The supply story was the whole story; our valuation case gets harder, not easier. Re-court, don't chase
\$17.05	Current. ~12.0× current revenue, ~3.75× the claimed exit-2026 run-rate	No action
\$11.50	Warrant strike. Every exercised holder is underwater; forced supply is exhausted. Also $\approx 8\times$ current revenue (\$11.29 by the math) — the two converge	Watch, do not buy on the level alone
\$10.26	52-week low	A break here is information about the ramp, not a discount. Re-court
\$8.42	6× current revenue on our own EV math	The price at which the valuation objection stops binding — but the disclosure gates still do

Sizing, if and only if a reopen condition is met: start at a fraction of a normal starter, not a full one, for two reasons stated plainly — the customer-concentration table does not exist, so we cannot measure the single largest risk; and there is no sensor on either site's power or permitting, so one of our three failure paths has no tripwire at all. When you can't watch it, you size for it. Any order must first close the volume gap (see below).

Dated catalysts:

- **September 1, 2026** — Rock Island, Illinois lease commences (60 months, ~\$660K/month, 80% minimum take). Contractual date per the 10-Q subsequent-events note; physical energization unverified.

- **~November 16, 2026** — Q3 10-Q / next earnings. **Date is derived from a data vendor and UNCONFIRMED** — no company release names it. Consistent with the pattern of reporting the June quarter on August 14. This is the decisive one.
- **December 15, 2026** — Pryor, Oklahoma lease commences (144 months, ~\$2.36 million/month, ~\$340 million total). Contractual date per the 10-Q; this is when the largest fixed obligation starts consuming cash whether or not the site earns.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 8.42 (deck-provisional: 6x current revenue on 86.8M shares + \$238M leases - \$221M cash; price at which the valuation objection)
- filing watch: 10-Q until 2027-02-27 (deck-provisional: Q3 filing is the reopen gate: compute operating cash flow minus the change in customer deposits; posit)
- dated pack BRUN|2026-09-01: BRUN: Rock Island IL lease commences — 6.5MW, 60 months, ~\$660K/mo, 80% minimum take (~\$40M total) per 10-Q subsequent-events note R76 (date
- dated pack BRUN|2026-11-16: BRUN: Q3 10-Q / next earnings — the decisive disclosure; vendor-derived date, no company release names it (date confirmed=False)
- dated pack BRUN|2026-12-15: BRUN: Pryor OK lease commences — 144 months at ~\$2,364K/mo (~\$340M undiscounted); largest fixed obligation begins consuming cash whether or

What remains unverified

Stated plainly, because several of these are load-bearing:

- **The 58.7 million-share resale registration (~77% of fully diluted).** Our red bench confirmed it from the prospectus; our blue bench could not re-verify it and marked it plausible. Directionally certain, numerically unconfirmed.
- **Customer concentration.** No >10%-customer table exists in any filing we read. We are asserting that \$128.4 million of deposits against a \$1.9 billion contract book implies few, large counterparties — that is an inference, not a disclosure.
- **The \$1.9 billion contract value itself.** Unaudited, appears only in the August 14 press release, with no corresponding audited schedule.
- **The 40% margin assumption** in the roof test. It is management's own figure. We used it against them, which is fair, but it is not independently verified.
- **The November 16 print date.** Vendor-derived. No company release names it.
- **Whether Rock Island and Pryor actually energize on their contractual dates.** We can see the obligations; we cannot see the power.

- **The exact material-weakness language.** We confirmed the phrase is present and has been since January; we did not read the Item 4 scope. Whether it is narrowly scoped to SPAC-conversion accounting or something broader is open.
- **Our own size against the tape.** Not measured.
- **Whether the ~\$88 million of incremental warrant cash has already been committed.** We infer it from ~\$380 million of post-quarter lease signings landing within weeks of the money arriving. That is a strong inference and it is the crux of the funding case — but the company has not said it, and we have not seen a use-of-proceeds disclosure that confirms it.

One correction to how this file was framed at the outset, worth stating for the record: we opened this as “was the drop mechanical, with the balance sheet proving no damage?” Both halves of that question failed. The supply mechanism turned out to be real but smaller and messier than we thought, mixed with a genuine insider sale that we had asserted did not exist. And the balance-sheet metric we ourselves nominated as the thing that would prove us wrong is the thing that proved us wrong. We should notice that our benches also produced four material arithmetic and chronology errors between them — the lease roof off by 2.5×, the \$42 million cash double-count, the material-weakness date, and the filing history — all of which were caught only because two independent readings were run against the same primary document. One bench alone would have shipped this with a wrong number in it.

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